



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Idin Ahangar

Of

17 Muldowney Street

ABERFELDIE VIC 3040

Prepared on:

10th May 2021

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

10/05/2021

Mr Idin Ahangar
17 Muldowney Street
ABERFELDIE VIC 3040

Dear Idin,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of surplus funds
- Taxation planning
- Superannuation structure
- Structure and ownership of current and future investments
- Superannuation contribution strategies

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Idin, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Explore options as to best use of your surplus cash.
- Place your current and future assets under the most tax effective ownership structure.
- Consider appropriate superannuation contribution strategies.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Idin
Surname	Ahangar
Gender	M
Date of Birth	16/09/1976
Age Last Birthday	44

Employment Details

Employment Status	Full Time
Occupation	Radiologist
Employer	Lake Imaging / Alfred Hospital / Inview Imaging

Estate Planning

	Idin
Do you have a Current Will?	No
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$2,000,000
Total Lifestyle Assets	\$2,000,000

Investment Assets	
Cash (offset account)	\$372,000
25% share in Keilor Inview business	\$500,000
Total Investment Assets	\$872,000

Superannuation Assets	
Hesta	\$128,466
Total Superannuation Assets	\$128,466

Total ASSETS	\$2,910,466
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LIABILITIES

Residential Mortgage	\$1,238,000
Total Liabilities	\$1,238,000

NET WORTH	\$1,672,466
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon our discussions, it was determined that you can be classified as a Growth investor.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A Growth portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.
- A 'Growth' investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2020-21

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute

Concessional Superannuation Contributions Carry Forward

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- Idin, the following concessional contributions have been made to your Hesta superannuation fund in the previous two years:

Financial Year	Idin	Total Allowable Contributions
2018/19	\$21,145	\$25,000
2019/20	\$19,913	\$25,000
TOTAL	\$41,058	\$50,000

- You therefore have a total of **\$8,942** in concessional contributions that you can 'carry forward'.

Personal Concessional Contributions

Idin, you are currently earning a taxable income of approximately \$500,000 p.a.

The concessional superannuation contribution cap is \$25,000 in the 2020/21 financial year and will increase to \$27,500 from the 2021/22 financial year.

Benefits:

- Should your employer SG contributions not reach the concessional contribution caps detailed above, ensure you make personal concessional contributions to 'top up' to these caps.

Benefits:

- Personal concessional super contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional super contributions will be taxed at a maximum of 30% (including Division 293 tax) compared to the 47% if taken as income.
- **Should you make the 'Carry Forward' contributions detailed on the previous page, the total tax saving for the 2020/21 financial year is anticipated to be \$1,520.**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Potential Sale of Keilor Inview Radiology Clinic

- You have a 25% share in the Keilor Inview Radiology Clinic. This may potentially be sold for \$2.0m to \$2.5m. Should this sale proceed, your share of the sale proceeds may be in the order of \$500,000 to \$650,000.
- You seek advice with respect to the best use of these funds.

Background Information:

By selling this business, there are potential Capital Gains Tax (CGT) ramifications. This section of the Statement of Advice provides you with advice in relation to the application and consequences of CGT for small businesses. We understand you acquired your share of this business for \$100,000.

Capital Gains Tax Legislation

Section 152 of the *Income Tax Assessment Act 1997* governs the laws and regulations relating to the application of CGT which states the following:

The capital gain from a disposal of a CGT asset that occurred after 21 September 1999 may be reduced using either or both of the following methods.

- (1) The CGT discount – not available to corporate taxpayers;
- (2) One or more of the four CGT concessions available for small business:
 - a. The Small business 15-year exemption;
 - b. The Small Business 50% active asset reduction;
 - c. The Small Business Retirement Exemption; and
 - d. The Small Business Rollover Relief.

Basic conditions that must be met before applying the CGT relief

Sec 152-10 states that there are **4** conditions that must be met before applying for the CGT concessions available for small business.

CONDITION 1

- A CGT event happened in relation to a CGT asset in an income year.
 - CGT event includes the sale of an asset.
 - CGT assets include both tangible and intangible assets (e.g. goodwill).

Condition 1 will be met as the business (and the imbedded intangible CGT assets) will be sold.

CONDITION 2

- The event has resulted in a gain.

Condition 2 will be met – your Capital Gain will be between \$400,000 and \$550,000, depending on the sale price.

CONDITION 3

- At least one of the following applies:

- (1) You are a small business entity for the income year. A small business entity is defined as having an aggregate turnover of less than \$2 million for the previous year and your aggregate turnover for the current year is less than \$2 million; or
- (2) You satisfy the maximum net asset value test. You meet this test if the sum of the net value of the CGT assets of yours and any entities connected with you does not exceed \$6,000,000. (Please note the residential home and superannuation balance is not included in this calculation).

Condition 3 will be met based on previous conversations with you.

CONDITION 4

- The CGT asset has satisfied the active asset test.
- Sec 152-35 states the following:
 - A CGT asset satisfies the active asset test if you have owned the asset for 15 years or less and the asset was an active asset for at least half of the period.
 - Active asset means that you owned the asset and it is used or held ready for use in the course of carrying on a business.

Condition 4 will be met as the business (and the imbedded intangible CGT assets) are by their very nature, active.

Analysis of CGT Relief

Based on the above, it appears that all 4 conditions have been met. Therefore, you can apply for CGT relief for small business concessions by applying one or more of the following four options:

CGT Concession Options

As you have held this asset for greater than 12 months, you qualify for a 50% discount on the assessable capital gain.

After applying this discount, the following options should then be considered for further CGT concessions:

Option A – 15-year exemption

- This method can only be applied if the CGT asset was continuously owned for the 15-year period.
- **This concession cannot be used** as you have owned the asset for less than 15 years.

Option B – Small Business 50% active asset reduction

- Section 152.205 states that the amount of capital gain is reduced by 50% if you meet the 4 basic conditions above.
- **This concession can be applied**

Option C- Small Business Retirement Concession

- Sec 152- D states that you can choose to disregard a capital gain from a CGT event if the capital proceeds from the event are used in connection to your retirement (although it is not necessary to actually retire).
- If you are a company you can use the small business retirement exemption to disregard the capital gain if all of the following conditions are met:
 - (1) You meet the basic 4 conditions;
 - (2) You meet the significant individual test. An individual is a significant individual in a trust if at that time the individual has a small business participation in the trust of at least 20%;
 - (3) You keep a written record of the amount you have chosen to disregard;
 - (4) You make a payment to at least one of the CGT concession stakeholders;
 - (5) Where a stakeholder is less than 55 years old, then the amount must be contributed to a complying super fund and advise the trustee of the super fund; and
 - (6) The exempt amount must not exceed the \$500k CGT retirement exemption.

As a result, you can disregard the entire amount of the capital gain and this amount is considered to be the “CGT exempt amount”.

Please note a tax deduction cannot be claimed for this personal contribution and the choice to use this exemption needs to be in writing.

This option is relevant and we would suggest utilising the Small Business Retirement Concession.

Option D – Small Business rollover relief

- The small business rollover allows you to defer all or part of the capital gain for two years if you meet the following conditions:
 - You acquire a replacement asset; or
 - You incur expenditure on making capital improvements to an existing asset.

This option is not relevant for you as you are not acquiring a replacement asset.

Recommendation:

Based on our detailed analysis, our recommendation is to:

- (1) Apply the initial 50% discount (for holding the asset greater than 12 months); then
- (2) Apply the 50% small business discount; then
- (3) Apply the small business retirement concession.

TABLE 1 – Outcomes with utilising Small Business CGT concessions

	Minimum proceeds	Mid-point	Maximum proceeds
Tax outcome			
Proceeds	\$500,000	\$575,000	\$650,000
Cost base	\$100,000	\$100,000	\$100,000
Capital gain	\$400,000	\$475,000	\$550,000
General CGT discount (50%)	(\$200,000)	(\$237,500)	(\$275,000)
15-year exemption	-	-	-
Active asset discount (50%)	(\$100,000)	(\$118,750)	(\$137,500)
Retirement exemption (via contribution)	(\$100,000)	(\$118,750)	(\$137,500)
Rollover exemption	-	-	-
Capital gain	-	-	-
Tax to pay	-	-	-
Cash outcome			
Expected selling price	\$500,000	\$575,000	\$650,000
Retirement contribution	(\$100,000)	(\$118,750)	(\$137,500)
CGT tax bill	-	-	-
Expected cash remaining after sale	\$400,000	\$456,250	\$512,500
Expected cash in super	\$100,000	\$118,750	\$137,500
Total expected wealth increase	\$400,000	\$475,000	\$550,000

Timing of contributions

You must make the contribution when you made the choice to use the retirement exemption, or when you receive the proceeds (whichever is later). There is an additional seven days added to this timeline where the capital proceeds are initially received by a company or trust.

If you choose the retirement exemption after you've received the capital proceeds (for example, when you lodge your income tax return), you're not required to make the contribution until you make the choice. Accordingly, you may use the capital proceeds for other purposes before making the choice. However, once you make the choice, you must immediately make a contribution of an amount equal to the exempt amount if you are less than 55 years old just before you make the choice.

If you receive the capital proceeds in instalments, the above requirements about making a contribution apply to each instalment (up to the asset's CGT exempt amount).

Investments Currently Outside of Superannuation

- Idin, you currently have the surplus funds of \$372,000 currently in your offset account.
- Should the sale of the Keilor Inview Radiology Clinic proceed, you will also have at least an additional \$400,000
- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make superannuation contributions based on the following timeline (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' and 'Concessional Superannuation Contribution Carry Forward' sections):

		2020/21	2021/22	2022/23	TOTAL
Idin	Carry Forward Contribution	\$8,942	\$0	\$0	\$8,942
	Concessional Contribution	\$0	\$0	\$0	\$0
	Total Concessional Contribution	\$8,942	\$0	\$0	\$8,942
	Non-Concessional Contribution	\$100,000	\$330,000	\$0	\$430,000
	Total Contributions - Idin	\$108,942	\$330,000	\$0	\$438,942

Note 1: Based on the SG contributions made for the FYTD, we estimate that you will reach the \$25,000 concessional contribution cap in the 202/21 financial without making additional personal concessional contributions.

Note 2: These contributions are separate to the 'Retirement Contribution' detailed in the table on the previous page.

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Surplus Funds

Idin, you currently hold funds in your offset account (\$372,000) and you may receive additional funds from the sale of the Keilor Inview Clinic (\$400,000+) after utilising the 'Retirement Contribution' concession.

Rather than holding all of these funds in your offset account, you may be better served moving some of these monies into superannuation as per the suggested contributions on the previous page.

The interest rate on your current residential mortgage is 2.77% p.a. It is anticipated that the investment return within superannuation will be greater than this, particularly over the longer term.

Superannuation Fund - Idin

Idin, you currently have the following approximate superannuation balance:

- Hesta Accumulation Fund \$130,000

Recommendations:

- You effectively have two options in terms of how your superannuation is structured:
 - Continue to hold these monies with Hesta; or
 - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation platform.

Investments Within Superannuation

Hesta Super – Account Number 15729959

Idin, you have a superannuation fund with Hesta Super, invested in the 'Balanced Growth' option (previously known as the 'Core Pool' option). This is Hesta's default option. The asset allocation of the Balanced Growth option is as follows:

Asset Class	% of Portfolio
Australian Shares	25.0%
International Shares	24.0%
Property	21.5%
Alternatives	8.5%
Fixed Interest	16.0%
Cash	5.0%
	100%

Current Hesta Super Portfolio Profile Compared to 'Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Growth Portfolio	Deviation
Australian Shares	25%	43%	-18%
International Shares	24%	25%	-1%
Alternatives	8.5%	0%	+8.5%
Property	21.5%	17%	+4.5%
Fixed Interest	16%	13%	+3%
Cash	5%	2%	+3%

Current Hesta Balanced Growth Historical Performance at 30/06/20 ^

	1 year	3 years (p.a.)	5 years (p.a.)
Balanced Growth option	0.00%	5.84%	6.27%

^ Hesta Super only publish 12 months returns as at 30 June each year, whereas 'master trust' superannuation platforms update their rolling 12 month returns each month.

Option 1 – Continue to hold these monies with Hesta

Upside:

- The overall fee structure is relatively low when compared to a Master Trust platform.

Downside:

- The investment options available are very limited
- The historical average performance associated with your existing fund is lower than alternative options.

Option 2 – Master Trust Platform (Colonial First State)

Your investments in the Colonial First State platform would have a specifically modelled portfolio. The specific underlying funds that make up your individual portfolio would be:

Colonial First State Wholesale Allocated Pension – ‘Growth portfolio

	% of portfolio
CFS Wholesale Aust. Small Companies	16%
Colonial First State Wholesale Index Australian Share	27%
Colonial First State Wholesale Index Global Share	25%
Pendal Wholesale Property Investment (BT)	7%
Colonial First State Wholesale Index Property Securities	7%
Colonial First State Wholesale Index Australian Bond	32%
	100.00%

Performance of the alternative Colonial First State Balanced Portfolio at 30/06/2020

	% of portfolio	1 year	3 years p.a.	5 years p.a.
CFS Wholesale Aust. Small Companies	14%	5.15%	10.74%	10.94%
Colonial First State Wholesale Index Australian Share	20%	5.90%	5.57%	6.24%
Colonial First State Wholesale Index Global Share	20%	4.83%	9.62%	8.44%
Pendal Wholesale Property Investment (BT)	5%	-15.87%	3.73%	5.07%
Colonial First State Wholesale Index Property Securities	12%	-18.99%	1.70%	3.86%
Colonial First State Wholesale Index Australian Bond	15%	3.35%	4.49%	3.75%
	100.00%	1.11%	6.28%	6.45%

Performance of the alternative Colonial First State Balanced Portfolio at 31/03/21

	% of portfolio	1 year	3 years p.a.	5 years p.a.
CFS Wholesale Aust. Small Companies	14%	52.85%	15.22%	14.13%
Colonial First State Wholesale Index Australian Share	20%	33.18%	9.39%	9.92%
Colonial First State Wholesale Index Global Share	20%	20.72%	11.70%	12.16%
Pendal Wholesale Property Investment (BT)	5%	36.28%	9.15%	6.42%
Colonial First State Wholesale Index Property Securities	12%	38.37%	6.72%	4.91%
Colonial First State Wholesale Index Australian Bond	15%	-2.06%	3.10%	2.62%
	100.00%	27.13%	9.16%	8.95%

Benefits:

- The alternative portfolio has outperformed the Hesta fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Idin

Type of Fee or Cost	Hesta Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	<u>Admin. Fee</u> 0.08% p.a. <u>Asset Fee</u> \$65 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.82% p.a.	0.47% p.a.
Annual average cost - Total \$128,466 investment	\$1,221 p.a.	\$1,374 p.a.

Outcomes Post Implementation:

- Idin, the sum of your total ongoing management and administration fees will **increase** by approximately **\$153 PER ANNUM**.
- The Colonial First State Wholesale 'Growth' portfolio has **outperformed** your current fund over the past 3 years by an average of **0.44% p.a.** Based on your current balance, **this equates to \$565 p.a. (\$1,695 over a 3-year period).**

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$4,000+GST, which will be invoiced to you.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700)

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.